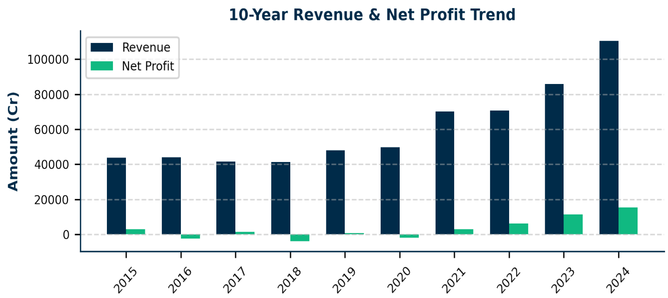
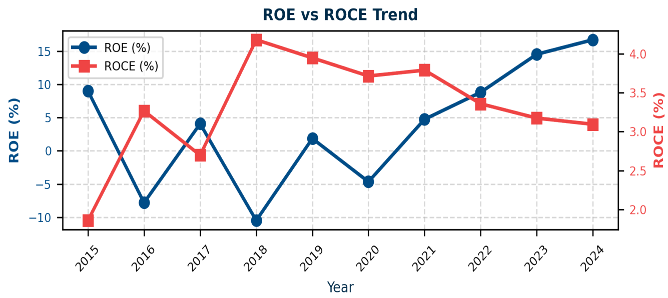
Canara Bank (CANBK)

Sector: Financials | FY: 2024-03

■110519.0 Cr Revenue (Sales)	**■15401.0 Cr** Net Profit (PAT)	**16.7%** Return on Equity (ROE)
14.87 Debt-to-Equity (D/E)	**■15046.0 Cr** Cash Flow from Ops (CFO)	**■496415.9 Cr** Market Capitalisation





Business Overview

Canara Bank was merged with erstwhile Syndicate Bank in FY21.{# Canara was incorporated in 1906 and nationalised in 1969, along with 13 other major commercial banks of India, by the GoI. The bank is headquartered in Bangalore.

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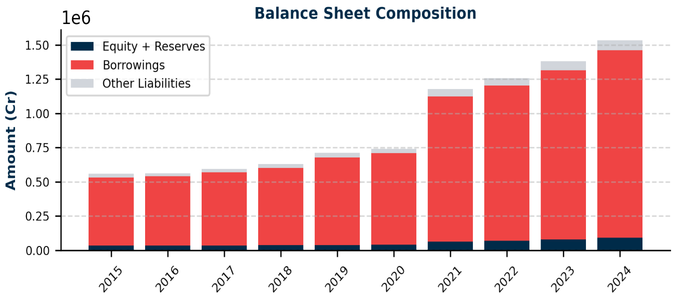

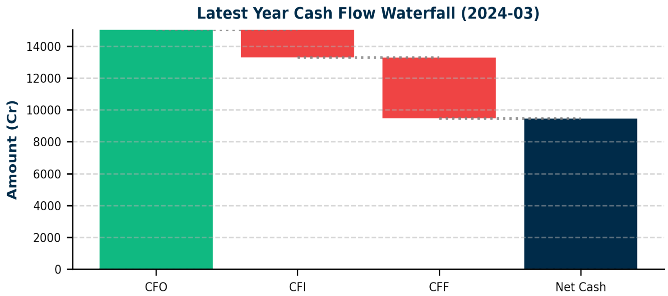

PROS (Key Strengths)

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow

CONS (Risks / Weaknesses)

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

CAPITAL ALLOCATION PATTERN: REINVESTOR